NOTE 8 - INCOME TAXES

The Company accounts for income taxes under the provisions of SFAS No. 109 "Accounting for Income Taxes". The (provision) benefit for income taxes is as follows:

Fiscal year ended July 31,	2005	2004	2003
Current (provision) benefit:			
Federal	$(1,386,700)	$ 3,288,000	$(1,828,000)
State and local	64,300	(191,500)	(181,400)
Deferred (provision) benefit	(890,900)	1,751,600	128,100
(Provision) benefit for income taxes	$(2,213,300)	$ 4,848,100	$(1,881,300)

Deferred tax assets and liabilities arise from temporary differences between the tax basis of assets and liabilities and their reported amounts in the financial statements. The components of deferred tax assets (liabilities) as of July 31, 2005 and 2004 are as follows:

	July 31, 2005	July 31, 2004
Current deferred tax assets (liabilities):		
Provision for uncollectible accounts receivable	$889,000	$1,072,500
State and local tax carry forward losses	244,700	720,900
Other, net	(234,000)	181,400
Realized and unrealized losses on marketable securities	129,100	--
Less: Valuation reserve for realized and unrealized losses	(129,100)	--
Net current deferred tax assets	899,700	1,974,800
Non current deferred tax (liability):		
Deferred patent costs	(293,000)	(906,200)
Non current deferred tax asset:		
Depreciation	33,000	462,000
Deferred tax liability non current, net	(260,000)	(444,200)
Deferred tax assets - net	$639,700	$1,530,600

In assessing if deferred tax assets are realizable, management considers whether it is more likely than not that some portion or the entire deferred tax asset will be realized. The ultimate realization of the deferred tax asset is dependent upon the generation of future taxable income against which the the deferred tax asset can be applied. Management considers scheduled reversals of deferred tax liabilities, projected future taxable income and tax planning strategies that can be implemented by the Company in making this assessment. During fiscal 2005, the Company determined that it is not likely that it will generate taxable income against which the deferred tax asset for the realized and unrealized losses on marketable securities can be applied. Therefore, it has established a valuation reserve against this deferred tax asset. As of July 31, 2005 and 2004, there were no carry forward losses for federal taxes. As of July 31, 2005 and 2004, the Company has state and local tax carry forward losses of approximately $4.2 million and $11.2 million, respectively.

The (provision) benefit for income taxes were at rates different from U.S. federal statutory rates for the following reasons:

Fiscal year ended July 31,	2005	2004	2003
Federal statutory rate	(34%)	34%	(34%)
Expenses not deductible for income tax return purposes	(2%)	(3%)	(2%)
State income taxes, net of (benefit) of federal tax deduction.	(6%)	4%	(3%)
Benefit of foreign sales	1%	2%	4%
Fixed asset basis difference	-	8%	-
Other	(1%)	(1%)	2%
	(42%)	44%	(33%)